TANEY, Ch. J., having been of counsel in this cause, did not sit in the same.

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*The Proprietors of the CHARLES RIVER BRIDGE, Plaintiffs in error, *v.* The Proprietors of the WARREN BRIDGE and others. [*420

Constitutional law.—Protection of corporate franchises.—Competing bridge charters.

In 1650, the legislature of Massachusetts granted to Harvard College, the liberty and power to dispose of a ferry, by lease or otherwise, from Charlestown to Boston, passing over Charles river; the right to set up a ferry between these places had been given by the governor, under the authority of the court of assistance, by an order dated November 9th, 1636, to a particular individual; and was afterwards leased successively to others, they having the privilege of taking tolls regulated in the grant; and when, in 1650, the franchise of this ferry was granted to the college, the rights of the lessees in the same had expired; under the grant, the college continued to hold the ferry, by its lessees, and receive the profits therefrom, until 1785, when the legislature of Massachusetts incorporated a company to build a bridge over Charles river, where the ferry stood, granting them tolls; the company to pay to Harvard College 200*l.* a year, during the charter, for forty years, which was afterwards extended to seventy years; after which the bridge was to become the property of the commonwealth. The bridge was built, under this charter, and the corporation received the tolls allowed by the law; always keeping the bridge in order, and performing all that was enjoined on them to do. In 1828, the legislature of Massachusetts incorporated another company, for the erection of another bridge, the Warren bridge, over Charles river, from Charlestown to Boston, allowing the company to take tolls; commencing in Charlestown, near where the Charles river bridge commenced, and terminating in Boston, about 800 feet from the termination of the Charles river bridge; the bridge was to become free after a few years, and had actually become free. Travellers, who formerly passed over the Charles river bridge, from Charlestown square, then passed over the Warren bridge; and thus the Charles River Bridge company were deprived of the tolls they would have otherwise received; the value of the franchise granted by the act of 1785, was thus entirely destroyed. The proprietors of the Charles river bridge filed a bill in the supreme judicial court of Massachusetts, against the proprietors of the Warren bridge, first, for an injunction to prevent the erection of the bridge, and afterwards for general relief; stating that the act of the legislature of Massachusetts authorizing the building of the Warren bridge, was an act impairing the obligations of a contract, and therefore, repugnant to the constitution of the United States; the supreme court of Massachusetts dismissed the bill of the complainants; and the case was brought by writ of error to the supreme court of the United States, under the provisions of the 25th section of the judiciary act of 1789. The judgment of the supreme judicial court of Massachusetts, dismissing the bill of the plaintiffs in error, was affirmed.

The court are fully sensible, that it is their duty, in exercising the high powers conferred on them by the constitution of the United States, to deal with these great and extensive interests (chartered property), with the utmost caution; guarding, *so far as they have power to do so, the rights of property, at the same time, carefully abstaining from any encroachment [*421 on the rights reserved to the states.

The plaintiffs in error insisted on two grounds, for the reversal of the judgment or decree of the supreme court of Massachusetts: 1. That by the grant of 1650, Harvard College was entitled, in perpetuity, to the right to keep a ferry between Charlestown and Boston; that the right was exclusive, and the legislature had no right to establish another ferry, on the same line of travel, because it would infringe the rights of the college and those of the plaintiffs, under the charter of 1785. 2. That the true construction of the acts of the legislature of Massachusetts, granting the privilege to build a bridge, necessarily imported, that the legislature would not authorize another bridge, and especially a free one, by the side of the Charles river bridge; so that the franchise which they held would be of no value; and that this grant of the franchise of the ferry to the college, and the grant of the right of pontage to the proprietors of the Charles river bridge, was a contract which was impaired by the law authorizing the erection of the Warren bridge. It is very clear, that in the form in which this case comes before us, being a writ of error to a state court, the plaintiffs, in claiming under either of these rights, must place

themselves on the ground of contract: and cannot support themselves upon the principle, that the law divests vested rights. It is well settled, by the decisions of this court, that a state law may be retrospective in its character, and may divest vested rights; and yet not violate the constitution of the United States, unless it also impairs the obligation of a contract. Satterlee *v.* Matthewson, 2 Pet. 413, cited.

The ferry-right which was owned by Harvard College, was extinguished by the building of the Charles river bridge; the ferry, with all its privileges, was then at an end for ever, and a compensation in money was given in lieu of it.

As the franchise of the ferry, and that of the bridge, are different in their nature, and were each established by separate grants, which have no words to connect the privileges of the one, with the privileges of the other; there is no rule of legal interpretation, which could authorize the court to associate these grants together, and to infer that any privilege was intended to be given to the bridge company, merely because it had been conferred on the other; the charter of the bridge is a written instrument, and must speak for itself, and be interpreted by its own terms.

The grant to the bridge company is of certain franchises, by the public, to a private corporation, in a matter where the public interest is concerned; there is nothing in the local situation of this country, or in the nature of our political institutions, which should lead this court to depart from the rules of construction of statutes, adopted under the system of jurisprudence which we have derived from the English law; no good reason can be assigned, for introducing a new and adverse rule of construction in favor of corporations, while we adopt and adhere to the rules of construction known to the English common law, in every other case, without exception.

Public grants are to be construed strictly. In the case of the United States *v.* Arredondo, 6 Pet. 736, the leading cases on this subject are collected together by the learned judge, who delivered the opinion of the court: and the principle recognised, that in grants by the public, nothing passes by implication. Jackson *v.* Lamphire, 3 Pet. 289; Beaty *v.* Knowler, 4 Ibid. 165; Providence Bank *v.* Billings, Ibid. 514, cited.

In the case of the Providence Bank *v.* Billings, 4 Pet. 514, Chief Justice Marshall, speaking of the taxing power, said, "as the whole community is interested in retaining it undiminished, that community has a right to insist, that *its abandonment ought not to be presumed in a case in which the deliberate purpose of the state to abandon it does not appear." *422]

The case now before the court, is, in principle, precisely the same; it is a charter from a state; the act of incorporation is silent in relation to the contested power; the argument in favor of the proprietors of the Charles river bridge is the same, almost, in words, with that used for the Providence Bank; that is, that the power claimed by the state, if it exists, must be so used as not to destroy the value of the franchise they have granted to the corporation; the argument must receive the same answer. And the fact, that the power has been already exercised so as to destroy the value of the franchise, cannot in any degree affect the principle; the existence of the power does not, and cannot depend upon the circumstance of its having been exercised or not.

The object and the end of all government is, to promote the happiness and prosperity of the community by which it is established; and it can never be assumed, that the government intended to diminish its power of accomplishing the end for which it was created; and in a country like ours, free, active and enterprising, continually advancing in numbers and wealth, new channels of communication are daily found necessary both for travel and trade; and are essential to the comfort, convenience and prosperity of the people. A state ought never to be presumed to surrender this power; because, like the taxing power, the whole community have an interest in preserving it undiminished; and when a corporation alleges, that a state has surrendered, for seventy years, its power of improvement and public accommodation, in a great and important line of travel, along which a vast number of its citizens must daily pass, the community have a right to insist, in the language of this court, "that its abandonment ought not to be presumed, in a case in which the deliberate purpose of the state to abandon it does not appear." The continued existence of a government would be of no great value, if, by implications and presumptions, it was disarmed of the powers necessary to accomplish the ends of its creation; and the functions it was designed to perform, transferred to the hands of privileged corporations. The rule of construction announced by the court, was not confined to the taxing power, nor is it so limited in the opinion delivered; on the contrary, it was distinctly placed on the ground, that the interests of the community were concerned in preserving undiminished, the power then in question; and whenever any power of the state is said to be

surrendered or diminished, whether it be the taxing power, or any other affecting the public interest, the same principle applies and the rule of construction must be the same. No one will question, that the interests of the great body of the people of the state, would, in this instance, be affected by the surrender of this great line of travel to a single corporation, with the right to exact toll and exclude competition for seventy years. While the rights of private property are sacredly guarded, we must not forget, that the community also have rights; and that the happiness and well-being of every citizen depends on their faithful preservation.

The act of incorporation of the proprietors of the Charles river bridge, is in the usual form, and the privileges such as are commonly given to corporations of that kind; it confers on them the ordinary faculties of a corporation, for the purpose of building the bridge, and establishes certain rates of toll which the company are authorized to take. This is the whole grant; there is no exclusive privilege given to them over the waters of Charles river, above or below their bridge; no right to erect another bridge themselves, nor to prevent other persons from erecting one; no engagement from the state, that another shall not be erected; and no undertaking not to sanction competition, nor to make improvements that may *diminish the amount of its income. Upon all these subjects, the charter is silent; and nothing is [*423 said in it about a line of travel, so much insisted on in the argument, in which they are to have exclusive privileges; no words are used, from which an intention to grant any of these rights can be inferred; if the plaintiffs are entitled to them, it must be implied simply from the nature of the grant, and cannot be inferred from the words by which the grant is made.[1]

Amid the multitude of cases which have occurred, and have been daily occurring, for the last forty or fifty years, this is the first instance in which such an implied contract has been contended for; and this court is called upon to infer it from an ordinary act of incorporation containing nothing more than the usual stipulations and provisions to be found in every such law. The absence of any such controversy, where there must have been so many occcasions to give rise to it, proves, that neither states, nor individuals, nor corporations, ever imagined that such a contract can be implied from such charters; it shows, that the men who voted for these laws never imagined that they were forming such a contract; and if it is maintained that they have made it, it must be by a legal fiction, in opposition to the truth of the fact, and the obvious intention of the party. The court cannot deal thus with the rights reserved to the states; and by legal intendments and mere technical reasoning take away from them any portion of that power over their own internal police and improvement, which is so necessary to their well-being and prosperity.

Let it once be understood, that such charters carry with them these implied contracts, and give this unknown and undefined property in a line of travelling; and you will soon find the old turnpike corporations awaking from their sleep, and calling upon this court to put down the improvements which have taken their place. The millions of property which have been invested in rail-roads and canals upon lines of travel which had been before occupied by turnpike corporations, will be put in jeopardy; we shall be thrown back to the improvements of the last century; and be obliged to stand still, until the claims of the old turnpike corporations shall be satisfied, and they shall consent to permit these states to avail themselves of the lights of modern science, and to partake of the benefit of those improvements, which are now

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[1] See notes to the case of Dartmouth College *v.* Woodward, 4 Wheat, 518. It is settled, at this day, that the grant of the right to erect a toll-bridge across a river is not necessarily exclusive. Mohawk Bridge Co. *v.* Utica and Schenectady Railroad Co., 6 Paige 554; Oswego Falls Bridge Co. *v.* Fish, 1 Barb. Ch. 547; Fort Plain Bridge Co. *v.* Smith, 30 N. Y. 44. But a provision in the charter, that it shall not be lawful for any person or persons to erect any other bridge, within two miles, either above or below that of the corporation, amounts to a contract, which the legislature cannot violate, by a subsequent grant to another company. Chenango Bridge Co. *v.* Binghamton Bridge Co., 3 Wall. 51. But the grant of an exclusive right to maintain a toll-bridge, within certain limits, is not violated by the grant of a right of ferry, within the same limits. Parrott *v.* City of Lawrence, 2 Dill. 332. And in Pennsylvania, it has been held, that a legislative grant of an exclusive right to maintain a ferry, may be repealed, unless founded upon a valuable consideration. Johnson *v.* Crow, 87 Penn. St. 184. So, it has been determined, that the grant of a ferry right to a public municipal corporation is not a contract, and therefore, the legislative may, at any time, repeal the grant. East Hartford *v.* Hartford Bridge Co., 10 How. 511. See Fanning *v.* Gregoire, 16 Id. 524.